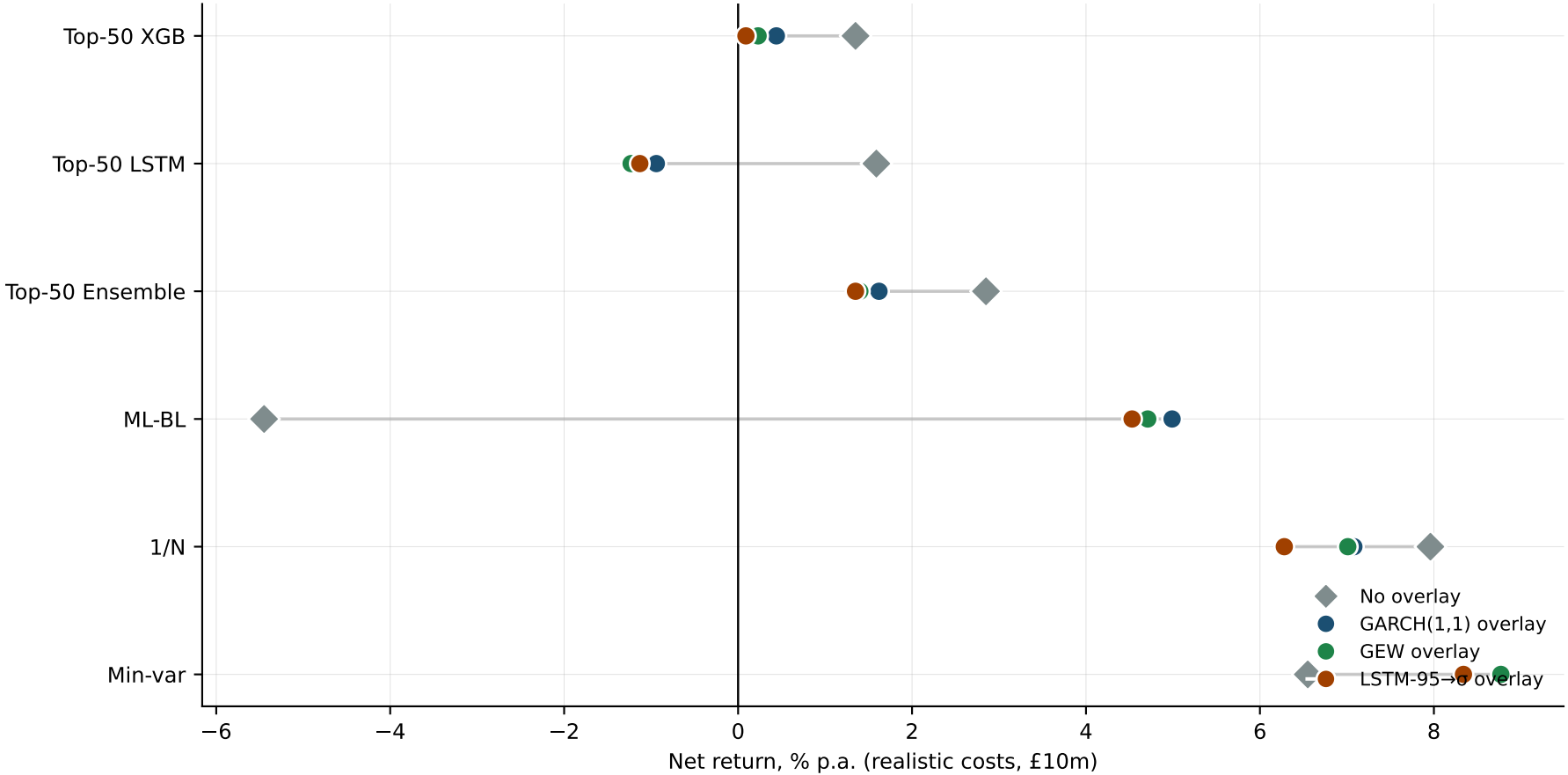
Figure 3.5 Index-level volatility overlay (target 15% ann.)



s = 15% / forecast vol, clipped to [0.25, 1.5]. Overlay uses LSTM-95 mapped to σ (not LSTM-99). n = 167 months. Source: tier c/with market realism/h3b ftse 100/scoreboard. Fleming, Kirby and Ostdiek (2001) timing, not stock-level GARCH-in-Σ.